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April 12, 2016					
FEDERAL	MARITIME	COMMISSION			

FEDERAL MARITIME COMMISSION

DOCKET NO. 12-02

MAHER TERMINALS, LLC

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

ORDER ON COMPLAINANT'S MOTION TO STRIKE AFFIRMATIVE DEFENSES

I.

On March 2, 2016, complainant Maher Terminals, LLC ("Maher") filed a motion to strike affirmative defenses pled by respondent The Port Authority of New York and New Jersey ("Port Authority"). Maher asserts that the Port Authority's first and second affirmative defenses are not affirmative defenses and therefore should be stricken; the Port Authority has failed to satisfy 46 C.F.R. 502.62(b)(2)(iv) which mandates defendants must plead any additional facts on which affirmative defenses are based; and the Port Authority failed to plead sufficient facts to render its affirmative defenses plausible. Motion at 6-14.

On March 17, 2016, The Port Authority filed its response to the motion to strike. The Port Authority contends that the *Twombly* and *Iqbal* plausibility requirements do not apply to affirmative defenses; the Port Authority's defenses are sufficient under the Commission's rules; the Commission should deny Maher's motion because the Port Authority's affirmative defenses will not unfairly prejudice Maher; and, the Commission should deny Maher's motion because striking affirmative defenses without leave to amend is a drastic, disfavored action. Response at 7-13.

On March 24, 2016, Maher filed its reply. Maher argues that the Port Authority conceded that the first, second, and fifth affirmative defenses are not really affirmative defenses – so they should be stricken; affirmative defenses three and four should be stricken because the Commission previously rejected them; affirmative defenses three and four should also be stricken because PANYNJ failed to allege any additional facts on which they are based as required by the Commission's Rule; the Port Authority fails to comply with any pertinent pleading standard; and the affirmative defenses should be stricken with prejudice. Reply at 5-15.

II.

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "In evaluating whether a complaint before the Commission states a cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal caselaw interpreting it." *Cornell v. Princess Cruise Lines, Ltd., Carnival PLC, and Carnival Corp.*, 33 S.R.R. 614, 620 (FMC 2014) (citing *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011)). The Commission does not have any recent decisions addressing the standards applicable to affirmative defenses.

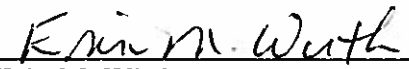
Maher asserts that the Port Authority's first and second affirmative defenses are not affirmative defenses and should be stricken. Motion at 6-8. The Port Authority admits that the first, second, and fifth defenses are not affirmative defenses but argues that "striking them would serve absolutely no purpose because doing so would not preclude the Port Authority from raising them at a later time." Opposition at 9. Where a respondent mislabels a denial as an affirmative defense, the proper remedy is not to strike the claim but rather to treat it as a specific denial. *Labeed Nouri v. County of Oakland*, 615 Fed. Appx. 291, 297-98 (6th Cir. 2015). Although the first, second, and fifth defenses are improperly labeled, they will not be stricken but rather treated as denials.

Maher asserts that the third and fourth affirmative defenses, regarding statute of limitations and collateral estoppel, do not meet the heightened pleading standard set out by the Supreme Court in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007), and elaborated on in *Ashcroft v. Iqbal*, 556 U.S. 662 (2009). The Port Authority asserts that the *Iqbal/Twombly* pleading standards do not apply to affirmative defenses and that if they did, the Port Authority should be given leave to amend.

"Neither the Second Circuit nor any other Circuit Court of Appeals has ruled on the applicability of the *Twombly/Iqbal* standard to affirmative defenses." *Tardif v. City of New York*, 302 F.R.D. 31, 33 (S.D.N.Y. 2014). District courts are divided on the applicability of the *Twombly/Iqbal* standard to affirmative defenses. *Tardif*, 302 F.R.D. at 33; *see also Securities and Exchange Commission v. Caledonian Bank Ltd.*, 2015 U.S. Dist. Lexis 152308 (S.D.N.Y. Nov. 10, 2015); *Exclusively Cats Veterinary Hospital, P.C. v. Pharmaceutical Credit Corp.*, 2014 U.S. Dist. Lexis 132440 (E.D. Mich. Sept. 22, 2014). The weight of recent authority leans toward finding that the *Iqbal/Twombly* pleading standard does not apply to affirmative defenses. *Tardif*, 302 F.R.D. at 33. Accordingly, it would not be appropriate to apply the *Iqbal/Twombly* pleading standard to affirmative defenses in Commission proceedings, unless the approach taken by federal courts changes.

In its reply, Maher argues that affirmative defenses three and four should be dismissed because the Commission already decided them and the affirmative defenses fail to meet even a notice standard. The Port Authority did not have an opportunity to address these arguments. The Commission decision remanding this proceeding discusses both the statute of limitations and collateral estoppel. Commission Memorandum Opinion and Order at 60-66. Regarding the statute of limitations, the Commission stated that "the Port Authority has not established that dismissal of Counts I and VIII based on the statute of limitations is appropriate *at this stage of the proceeding*." Commission Memorandum Opinion and Order at 66 (emphasis added). Regarding collateral estoppel, the Commission found that counts I and VIII were not barred by collateral estoppel due to the settlement agreement approved in FMC Docket No. 07-01. Maher has not established that the statute of limitations and collateral estoppel affirmative defenses, which may be impacted by factual determinations, could not apply to other counts or on other grounds than those addressed by the Commission. Accordingly, the third and fourth affirmative defenses will not be stricken.

For the reasons stated above, it is hereby **ORDERED** that Maher's motion to strike affirmative defenses be **DENIED**.


Erin M. Wirth
Administrative Law Judge